

9. 9:00 AM CASE NUMBER: C24-02590
CASE NAME: NEXTGEAR CAPITAL, INC. VS. FARHAD AMINZADA
HEARING ON SUMMARY MOTION

FILED BY:

TENTATIVE RULING:

Before the Court is Plaintiff, NextGear Capital, Inc., a Delaware Corporation (“NextGear” or “Plaintiff”)’s Motion for Summary Judgment or in the alternative Summary Adjudication. The Motion relates to Plaintiff’s First Amended Complaint for (1) Breach of Demand Promissory Note and Security Agreement, (2) Breach of Individual Guaranty Agreement, (3) Claim and Delivery as Against All Defendants, (4) Conversion as Against All Defendants, and (5) Common Count as Against All Defendants. Defendant US City Auto, Inc., a California corporation doing business as Bay Motors and Defendant Farhad Aminzada (collectively, “Defendants”) have not opposed the Motion.

Although Plaintiff moves for summary judgment or in the alternative summary adjudication, they do not include notice or argument with respect to the fourth cause of action for conversion. Consequently, summary judgment is unavailable.

For the following reasons, Plaintiff’s Motion for summary adjudication is **granted** as to the first, second, third, and fifth causes of action of the First Amended Complaint.

Request for Judicial Notice

Plaintiff NextGear requests judicial notice of the order after hearing denying Defendants’ motion to quash the writ of possession and the Declaration of Farhad Aminzada in support of the *ex parte* motion for a stay of the writ of possession. The unopposed request is **granted**. (Evid. Code §§ 452, 453.)

The Court notes that although the Request references the “Area Target Case,” Contra Costa Court Case No. C24-03143, both exhibits are from the instant case, Case No. C24-02590.

Standard

Code of Civil Procedure (“CCP”) §§ 437c(c) provides, in relevant part:

The motion for summary judgment shall be granted if all the papers submitted show that there is no triable issue as to any material fact and that the moving party is entitled to a judgment as a matter of law.

Section 437c(p)(1) provides:

A plaintiff or cross-complainant has met his or her burden of showing that there is no defense to a cause of action if that party has proved each element of the cause of action entitling the party to judgment on the cause of action. Once the plaintiff or cross-complainant has met that burden, the burden shifts to the defendant or cross-defendant to show that a triable issue of one or more material facts exists as to the cause of action or a defense thereto. The defendant or cross-defendant shall not rely upon the allegations or denials of its pleadings to show that a triable issue of material

fact exists but, instead, shall set forth the specific facts showing that a triable issue of material fact exists as to the cause of action or a defense thereto.

The party moving for summary judgment has the burden of persuasion to show there is no triable issue of material fact and thus it is entitled to judgment as a matter of law. (*Aguilar v. Atlantic Richfield Co.* (2001) 25 Cal.4th 826, 850.) Only if the moving party successfully meets this burden does the burden shift to the opposing party to make its own prima facie showing of the existence of a triable issue of material fact. (*Ibid.*; see also *Chern v. Bank of America* (1976) 15 Cal.3d 866, 873.) Even though the instant MSJ is unopposed, the Court cannot grant summary judgment unless Plaintiff meets the initial burden. (See *Johnson v. Superior Court* (2006) 143 Cal.App.4th 297, 305 [trial court order granting summary judgment reversed despite lack of timely-filed declaration that was proper under CCP § 2015.5 because unless defendant meets his initial burden, summary judgment cannot be granted “even if the opposing party does not respond sufficiently or at all.”].) The scope of the initial burden is defined by the pleadings. (See *580 Folsom Assocs. v. Prometheus Dev. Co.* (1990) 223 Cal. App. 3d 1, 18.)

Brief Factual and Procedural Background

Plaintiff filed the initial complaint on September 30, 2024 followed by an amended complaint on October 3, 2024. The First Amended Complaint alleges causes of action against Defendants for (1) Breach of Demand Promissory Note and Security Agreement, (2) Breach of Individual Guaranty Agreement, (3) Claim and Delivery as Against All Defendants, (4) Conversion as Against All Defendants, and (5) Common Count as Against All Defendants. The claims arise out of a commercial line of credit (“flooring line”) to Defendant automobile dealership. (See, e.g., FAC at ¶ 7.) NextGear alleges that Defendants defaulted on the Demand Promissory Note and Loan Security Agreement.

Plaintiff moved *ex parte* on October 3, 2024 for writ of possession of 33 vehicles which was granted by this Court the same day. On October 31, 2024 Defendants moved *ex parte* to Quash the Writ of Possession. Subsequently, the Court issued an order that Plaintiff post an undertaking in the amount of \$1.5 million dollars and that the Motion to Quash be heard as a noticed Motion on December 9, 2024. The hearing date was later continued to December 16, 2024. On February 7, 2025 the Court issued an order after hearing denying Defendants’ motion to quash.

Analysis

(1) Breach of Demand Promissory Note and Security Agreement

“[T]he elements of a cause of action for breach of contract are (1) the existence of the contract, (2) plaintiff’s performance or excuse for nonperformance, (3) defendant’s breach, and (4) the resulting damages to the plaintiff.” (*Oasis West Realty, LLC v. Goldman* (2011) 51 Cal.4th 811, 821.)

It is undisputed that (1) Defendant and Plaintiff executed a written Demand Promissory Note and Loan and Security Agreement for the flooring of Borrower’s inventory (UMF 1), (2) NextGear has fully performed all terms and conditions required to be performed on its part under the Note (UMF 8), (3) Borrower defaulted in the terms, conditions and covenants of the Note, failing and refusing to make the payments then due and owing under the Note (UMF 4), and (4) as July 14, 2025, the principal amount of \$1,261,335.41- is due owing and unpaid, plus interest of \$43,379.61 (UMF 9.)

Plaintiff has met its initial burden with respect to its breach of Demand Promissory Note cause of action. And, as Defendants have failed to file any opposition to the Motion, the Court finds that they have failed to meet their responsive evidentiary burden. Accordingly, the unopposed Motion is

granted as to the first cause of action.

(2) Breach of Individual Guaranty Agreement

Under California law, to prove a claim for breach of guaranty, the plaintiff must establish: (1) defendant guaranteed payment of an indebtedness of the primary obligor to the plaintiff; (2) defendant defaulted on the indebtedness; (3) plaintiff notified the guarantor of the default; and (4) defendant did not remit funds to the plaintiff under the guaranty agreements. (*Torrey Pines Bank v. Superior Court* (1989) 216 Cal.App.3d 813, 819; Civ. Code § 2787.)

It is undisputed that Defendant Farhad Aminzada executed an Individual Guaranty (UMF 11.) and that he defaulted on that indebtedness. (UMF 12.) Additionally, it is undisputed that NextGear has fully performed all terms and conditions required to be performed on its part under the Guaranty. (UMF 14.)

Plaintiff has met its initial burden with respect to its breach of Individual Guaranty cause of action. And, as Defendants have failed to file any opposition to the Motion, the Court finds that they have failed to meet their responsive evidentiary burden. Accordingly, the unopposed Motion is granted as to the second cause of action.

(3) Claim and Delivery as Against All Defendants

A cause of action for claim and delivery requires the following elements: (1) wrongful exercise of dominion by defendant; (2) over the property as to which plaintiff is owner or entitled to possession; (3) demand for return of property; (4) description of property; and (5) request for recovery of property, or damages. (*Law v. Heiniger* (1955) 132 Cal. App. 2d Supp. 898, 899.) “Claim and delivery is a remedy by which a party with a superior right to a specific item of personal property created, most commonly, by a contractual lien) may recover possession of that specific property before judgment.” (*Wajfer Internal. Corp. v. Khorsandi* (1999) 69 Cal.App.4th 1261, 1271.) “[A]n action in claim and delivery is a possessory action, and that one entitled to possession is entitled to maintain the action even though he is not vested with the legal title.” (*Feigin v. Kutchor* (1951) 105 Cal.App.2d 744, 747.)

It is undisputed that Plaintiff perfected its security interest in the Collateral, as that term is defined in the Note. (UMF 2.) It is further undisputed that Defendants are in possession and control of all but 25 of the vehicles and related books and records subject to NextGear’s Collateral. (Smith Decl. ¶ 9, Ex. 3.) Notwithstanding Plaintiff’s demand for return (through its application for writ of possession), Defendants have continued to withhold the remaining inventory. (*Id.* at ¶ 23.)

Plaintiff has met its initial burden with respect to its cause of action for claim and delivery. And, as Defendants have failed to file any opposition to the Motion, the Court finds that they have failed to meet their responsive evidentiary burden. Accordingly, the unopposed Motion is granted as to the third cause of action.

(5) Common Count as Against All Defendants

“The only essential allegations of a common count are (1) the statement of indebtedness in a certain sum, (2) the consideration, i.e., goods sold, work done, etc., and (3) nonpayment.” (*Farmers Ins.*

Exchange v. Zerin (1997) 53 Cal. App. 4th 445, 460 [internal quotation marks omitted].)

Here, it is undisputed that (1) within the last year Defendants became jointly and severally indebted to Plaintiff in the amount of \$1,488,052.52 (UMF 22), (2) in exchange for those funds, Plaintiff was given a security interest in the Defendants' inventory (UMF 1,2), and (3) Defendants have failed and refused to make payments (Smith Decl. at ¶ 10.)

Plaintiff has met its initial burden with respect to its cause of action for common count. And, as Defendants have failed to file any opposition to the Motion, the Court finds that they have failed to meet their responsive evidentiary burden. Accordingly, the unopposed Motion is granted as to the fifth cause of action.

Attorney's Fees and Costs

Finally, Plaintiff seeks a judgment that it is entitled to an award of attorney's fees and costs under Civil Code § 1717(a).

"In any action on a contract, where the contract specifically provides that attorney's fees and costs, which are incurred to enforce that contract, shall be awarded either to one of th" parties or to the prevailing party, then the party who is determined to be the party prevailing on the contract, whether he or she is the party specified in the contract or not, shall be entitled to reasonable attorney's fees in addition to other costs." (Civ. Code, § 1717, subd. (a).) "[T]he party prevailing on the contract shall be the party who recovered a greater relief in the action on the contract." (Civ. Code, § 1717, subd. (b)(1).)

While some attorney's fees claims can be raised in a memorandum of costs, claims for fees under section 1717 can only be raised via motion or upon entry of a default judgment, unless the parties stipulate otherwise. (Code Civ. Proc., § 1033.5, subds. (c)(5)(A) ["Attorney's fees allowable as costs pursuant to subparagraph (A) ... of paragraph (10) of subdivision (a) shall be fixed either upon a noticed motion or upon entry of a default judgment, unless otherwise provided by stipulation of the parties"], (c)(5)(B) ["Attorney's fees awarded pursuant to Section 1717 of the Civil Code are allowable costs under Section 1032 as authorized by subparagraph (A) of paragraph (10) of subdivision (a)"].)

Plaintiff may bring a separately noticed motion for attorney fees. (*Chen v. Valstock Ventures, LLC* (2022) 81 Cal.App.5th 957, as modified (Aug. 24, 2022).

10. 9:00 AM CASE NUMBER: C24-02764

CASE NAME: SAN PABLO RETAIL PARTNERS II, LLC VS. VIAZON NORTHBAY PROPERTIES LLC

***HEARING ON MOTION IN RE: COMPEL FURTHER RESPONSES TO DEMANDS FOR INSPECTION AND REQUESTS FOR ADMISSION AND FOR SANCTIONS**

FILED BY: VIAZON NORTHBAY PROPERTIES LLC

TENTATIVE RULING:

Parties to Appear.